

Problem 1: Scarcity – Buddhism vs. Economics

Both Buddhism and economics start from the same observation - human desires outrun the resources to satisfy them. Conventional economics treats wants as unlimited and given with the task of satisfying those needs efficiently, using opportunity cost as a guiding principle. Applied to vacations, cars, or clothes, the "solution" is to expand the resource side: more income, cheaper substitutes, or more efficient spending, so a fixed budget satisfies more of those fixed wants.

Buddhism reframes the problem to focus on the desire, craving or want itself. In the Second Noble Truth, suffering (dukkha) arises not from a shortage of goods but from craving (tanha), a desire that grows the more it is fed. E. F. Schumacher's essay "Buddhist Economics" (1966, reprinted in *Small Is Beautiful*, 1973) made this contrast explicit: where Western economics measures success by maximizing consumption, Buddhist economics measures it by achieving well-being with the minimum necessary consumption (Schumacher Center for a New Economics, n.d.). So instead of expanding supply to meet the want for a vacation or a nicer car, the Buddhist solution is to work on the craving itself, through moderation and non-attachment.

In summary, economics manages scarcity by expanding resources relative to fixed desires while Buddhism shrinks demand to achieve a simpler standard of living.

Problem 2: Opportunity Cost, Charity, and Effective Altruism

Opportunity cost applies to charitable giving directly: a donor's budget of money, time, or attention is finite, so every dollar given to one cause is a dollar that cannot fund a different cause. The effective altruism (EA) movement, popularized by philosophers such as Peter Singer and organizations like Giving What We Can and 80,000 Hours, takes this seriously by asking which use of a charitable dollar does the most measurable good.

- Cost-effective charity evaluation: organizations like GiveWell rank charities by cost per outcome (e.g., cost per life saved), comparing interventions such as bed nets (Against Malaria Foundation) or cash transfers (GiveDirectly), treating the gap between a less-effective and more-effective charity as a real opportunity cost.
- "Earning to give," popularized by William MacAskill and 80,000 Hours: choosing a higher-paying career specifically to donate more, reasoning that a lower-paying "helping" job may, counterintuitively, deliver fewer total resources to the causes that need them.

This utilitarian approach has real merit: it pushes donors to ask whether a gift is accomplishing as much good as possible rather than giving based on emotional proximity, echoing Singer's "drowning child" argument that distance shouldn't change our obligation to help when we can. But it has downsides too. Critics note that EA's focus on measurable outcomes can undercount goods that resist quantification, like justice, dignity, and community empowerment, and can favor large, impersonal interventions over relational, place-based work (Giving What We Can, n.d.). My view is that EA is a useful corrective against wasteful giving, but works best alongside, not in place of, judgment about values that don't reduce to a spreadsheet.

Problem 3: Matching Terms and Definitions

Consider the following concepts: (1) Scientific theory, (2) Münchhausen trilemma, (3) Paradigm, (4) Model, (5) Infinite Regress. Matched to definitions (A)–(E) below:

Term	Matching Definition
Scientific theory	D
Münchhausen trilemma	E
Paradigm	A
Model	B
Infinite Regress	C

Definitions for reference

(A) Paradigm – A set of practices that defines a scientific discipline at any particular period of time, similar to the dogmatic principles of a theory. For economics, rational choice and methodological individualism are important parts of it.

(B) Model – A conceptual approach that makes reasonable conjectures about causal relationships in the world.

(C) Infinite Regress – A never-ending process in which every proof requires further proof, i.e., every proposition requires a proof, given in the form of a further proposition, which in turn again requires a proof.

(D) Scientific theory – Makes assumptions about reality and derives hypotheses from these assumptions in a logically consistent way; its crucial function is to make the causal mechanisms underlying a theory explicit and logically consistent.

(E) Münchhausen trilemma – There are only three unsatisfactory ways to deal with the fact that scientific reasoning requires proof for every proposition: infinite regress, circularity, or dogmatism.

References

Giving What We Can. (n.d.). Misconceptions and concerns about effective altruism and charity evaluation. <https://www.givingwhatwecan.org/misconceptions-and-concerns-about-effective-altruism-and-charity-evaluation>

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